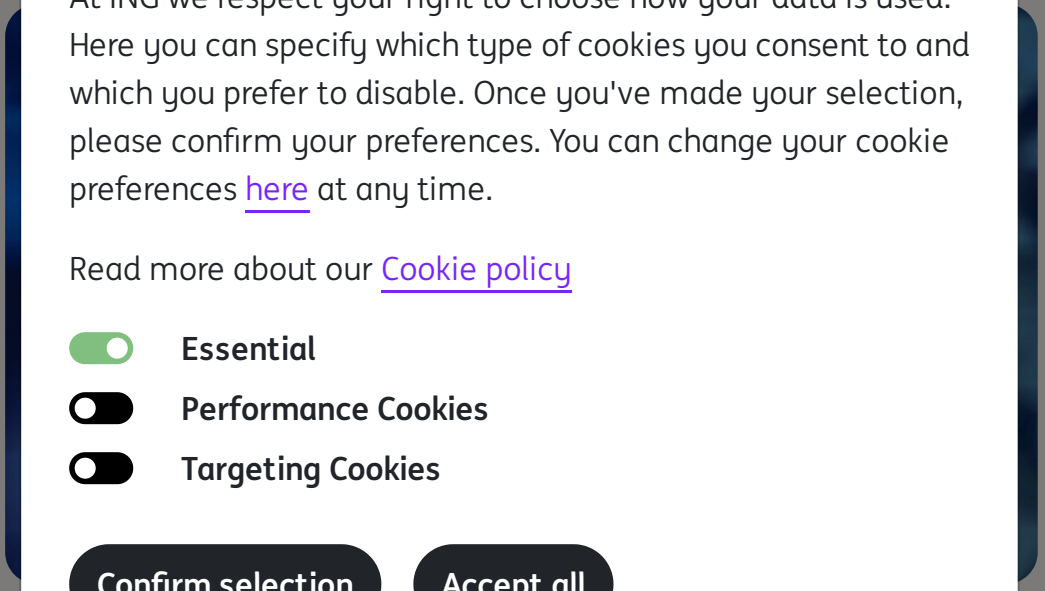
After big moves in front-end USD rates, the dollar has shown it could be a laggard in further stock market instability if led by AI concerns. Still, we don't think we are on the brink of a major USD decline. EUR/USD may struggle to stay supported today as protests in France spill over into local assets, while we see limited impact from US-Ukraine news for now



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USD: AI jitters leave USD on less solid ground

AI-related jitters entered the FX picture last week, although currencies are more accurately borrowing the reaction from the rates channel. The USD two-year OIS/SOFR has dropped 25bp from the 14 October post-US CPI print. These are mammoth moves considering they have been driven almost entirely by AI concerns, with effectively no macro input.

Markets appear to have a clear reaction function in mind: stock market turmoil is enough to drastically reduce Federal Reserve tightening plans, even with inflation running hot. The reasoning is probably linked to the market wealth effect that many believe has underpinned US economic resilience. This is enough to suggest the dollar will not be the safe-haven of choice and may actually lag many other G10 currencies if stock market instability originates in tech/AI.

Still, contagion to broader US and world equity indices has so far been contained, while the Nasdaq drop has only erased the last 30 days of gains. AI-related sentiment will remain an input for FX this w… a n… n… er F… b… a… ir…

A… b… U… n… a… r… a… ir… meaningful developments this week.

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Francesco Pesole

EUR: French protests may curb upside for now

EUR/USD briefly dropped back below 1.120 overnight before inching higher again this morning. The move in short-term rate differentials has pushed our short-term fair value estimate for EUR/USD higher to around 1.137-1.139. The current undervaluation is therefore around 1.3-1.5%, broadly consistent with French fiscal risk

remaining very much present, as reflected in the 10yr OAT-Bund spread hovering around 135-140bp.

Markets have appeared tentatively more relaxed about the budget situation. Still, continued widespread protests in France over the weekend should weigh on domestic stocks and could spill over into the bond market. We doubt that is enough to drive further sustained widening per se, but it may limit EUR/USD's ability to return to Friday's levels.

On the macro side, the highlight of the week is Friday's PMI release. Expectations are for a modest softening in the eurozone composite f

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anchored around 2.0%.

The jobs market has given some warning signals, with two consecutive negative prints in August and September and the unemployment rate rising to 6.5%. Still, with growth proving resilient and a widening rate spread with the Fed, an (insurance) rate hike in December by the Bank of Canada remains a clear possibility. The BoC also releases its business outlook survey today.

Markets are fully pricing in a 25bp December hike, as well as 9bp for next week's meeting. That suggests limited upside for the Canadian dollar, even if the October meeting is used to set the stage for a

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December move. That is, barring a surprise October hike, although we don't sense that markets are underpricing here.

We don't see much more downside for USD/CAD at this stage, with a return to 1.420 still our baseline for the month-end and year-end.

Francesco Pesole

CEE: Hungary to release its budget plan for the coming years

Today's focus is Hungary's draft budget for next year. Hungarian bonds have rallied strongly in recent weeks on growing

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On Thursday, we expect the Central Bank of Turkey to resume its easing cycle for the first time since the US-Iran conflict began, cutting rates by 100bp to 36.00%. September's inflation data provided a positive signal, while developments in investment funds point to downside risks for the economy in the final quarter. Although crowded long TRY positions offer less and less carry, they remain popular in emerging markets, and we expect this demand to persist in the coming months despite renewed rate cuts.

Beyond the scheduled events, we are monitoring political developments in Romania, where the new government appears highly likely to win a confidence vote. This should help stabilise

EUR/RON after its decline late last week, and we expect the pair to settle around 5.340. In the Czech Republic, the Czech National Bank may offer its first signals ahead of the November meeting, when we expect another rate hike.

Frantisek Taborsky

FX

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